

two parts of the human personality are roughly these: There's the part that is concerned with practical things—getting wealth, running a business, building a house, and so forth. The other side is concerned with religion, art, spiritual things, involving less tangible, less easily manipulated or measured things. Like honor, integrity, religion, beliefs, culture, feelings. Those are things that light up brain cells at family discussions.

Two parts of the brain. Two aspects of the human personality. Two elements of family money.

Looked at another way, you can say that family wealth is just the ability of family members to pursue happiness and enjoy freedom and security, thanks to the wealth racked up by previous generations. That is true, too. Money is just a means. The family—and its happiness—is the end. But you can't get the end without the means. Again, the two things are clasped together like the two halves of a deadbolt lock.

Family wealth is dependent on a family's ability to generate and hold on to money. The spirit knows what it wants; it needs the rational, goal-oriented brain to get it.

THE FAMILY BALANCE SHEET

To understand a family's ability to make and maintain a fortune, you might think in terms of a family balance sheet. Every family has a balance sheet. It has assets and liabilities.

There are four primary elements of family wealth: the human, intellectual, organizational, and financial capital that a family possesses.

Most families do not think in these terms. Whether successful Old Money does or not, we don't know. But it seems like a good way to look at it. Successful families need their capital in all four areas.

Why not just focus on the money?

If the family balance sheet is too lopsided, if it has financial capital but little else, it probably won't know how to hold on to the money for long. Or how to generate more of it.

Money that is earned too easily or too fast tends to go as quickly and as readily as it arrived. That is largely because money that is too easily made is